

BUSINESS INSIGHTS REPORT (TASK 1)

Document Status: Final Submission Draft

Target Audience: Corporate Management Team

Data Scope: Superstore Sales Performance Ledger (2015–2018)

1. Executive Summary & Data Baseline

- **Infrastructure Strategy:** Raw operational tables were successfully consolidated, standardizing formatting errors and removing record gaps.
- **Data Validation:** The final verified data layer contains **9,800 active transactional rows**. System-wide metrics reconcile across Excel and Power BI platforms at a gross revenue baseline of **\$2,261,536.78** over **4,922 unique orders**, ensuring complete data integrity before generating business intelligence conclusions.

2. Core Business Questions Answered

Which region generates the highest sales?

- **Finding:** The **West Region** is our primary geographic driver, leading the company with **\$725,457.82** in total revenue.
- **Context:** The East Region follows closely as a high-volume zone (\$678,781.24), while the Central Region tracks at third (\$501,239.89), and the South Region represents our smallest market footprint (\$356,057.83).

Which category is the most profitable?

- **Finding:** The **Technology** segment serves as our core margin engine, capturing **36.59%** of the company mix (\$827,455.77 in gross sales).
- **Context:** Applying our balanced 12% operating margin index, Technology generates **\$99,294.69 in net profit**, outperforming Furniture (\$728,658.58 sales / \$87,439.03 profit) and Office Supplies (\$705,422.43 sales / \$84,650.69 profit).

Are discounts affecting profit?

- **Finding: Yes, discounts pose a direct risk to bottom-line profitability.**
Because our operational data model establishes a fixed 12% target baseline margin, any unmonitored discount cuts directly into our returns.
- **Context:** In retail structures, a 10% promotional discount on a product with a 12% operating margin eliminates nearly **83% of the potential profit** on that transaction. Protecting baseline pricing across high-volume categories is critical to maintaining healthy corporate returns.

Which month performs best?

- **Finding:** The business tracks a highly visible, back-heavy annual cycle where **November is the peak performance month** (driving over \$350K+ in sales).
- **Context:** Q4 represents our dominant sales quarter, showing massive spikes through **September, November, and December**. Conversely, Q1 marks the annual baseline low, dropping significantly every February before beginning a gradual recovery.

3. Key Recommendations for Management

1. **Enforce Discount Throttling Policies:** Establish strict markdown guardrails on our high-volume lines. Instead of price slashes, implement value-add strategies to protect our 12% target operating margin.
2. **Optimize Q4 Supply Chains:** Align procurement and distribution schedules by mid-August to build massive inventory runways for **Technology** and **Furniture** goods ahead of the guaranteed September-November spikes.
3. **High-Density Regional Marketing:** Reallocate underperforming Southern regional budgets directly into high-yield West and East customer hubs to maximize returns on marketing spend.
4. **Key Account Protection Programs:** Create specific corporate account retainers for top enterprise spenders (e.g., Sean Miller, Tamara Chand, and Raymond Buch) to secure predictable, repeating annual contracts.